



PHOTOS BY **MILIND SHELTE**

“Now, increasingly, retail liquidity—at least in urban areas—is moving straight into capital markets”

Q: On the households’ savings moving to capital markets.

A: Retail liquidity, or household liquidity, which is available to banks, is shrinking. And this is something the industry and the regulator need to think through, because it is the backbone. You take money from retail, and you lend either to wholesale or to retail. Now, increasingly, retail liquidity—at least in urban areas—is moving straight into capital markets.
